

1. Which financial statement shows a company's assets and liabilities?

- a) Income statement
- b) Balance sheet
- c) Cash flow statement
- d) Statement of equity

Answer: b

2. What does the accounting equation state?

- a) $\text{Assets} = \text{Liabilities} + \text{Equity}$
- b) $\text{Assets} = \text{Revenue} - \text{Expenses}$
- c) $\text{Liabilities} = \text{Assets} + \text{Equity}$
- d) $\text{Equity} = \text{Assets} + \text{Liabilities}$

Answer: a

3. Which of these is a current asset?

- a) Inventory
- b) Building
- c) Patent
- d) Equipment

Answer: a

4. What is depreciation?

- a) Allocation of an asset's cost over its useful life
- b) Increase in asset value
- c) Cash paid for an asset
- d) A type of liability

Answer: a

5. Which accounting principle records revenue when earned, not when cash is received?

- a) Accrual basis
- b) Cash basis
- c) Matching principle
- d) Going concern

Answer: a

6. What does GAAP stand for?

- a) Generally Accepted Accounting Principles
- b) General Accounting and Audit Practices
- c) Global Accounting Application Protocol
- d) Generally Audited Accounting Procedures

Answer: a

7. Which of these is a liability?

- a) Accounts payable
- b) Accounts receivable
- c) Cash
- d) Inventory

Answer: a

8. What is the formula for net income?

- a) Revenue - Expenses
- b) Assets - Liabilities
- c) Revenue + Expenses
- d) Equity - Liabilities

Answer: a

9. Which book records all financial transactions chronologically?

- a) Ledger
- b) Journal
- c) Trial balance
- d) Balance sheet

Answer: b

10. What is a trial balance used for?

- a) Verify debits equal credits
- b) Calculate taxes
- c) Prepare budgets
- d) Track inventory

Answer: a

11. Explain the difference between the accrual basis and cash basis of accounting.
(Write your answer in the space provided.)

12. Describe how a double-entry bookkeeping system works with an example.
(Write your answer in the space provided.)